

The Coca-Cola Company

4Q23 First Impressions

KO just reported 4Q23 Comparable EPS of \$0.49 that compares to Consensus of \$0.49 and Barclays Research \$0.48. EPS came in-line with the Street despite an estimated ~2c headwind from hyperinflationary adjustments tied to Argentina.

Our Thoughts

Even with currency proving a much greater headwind to 4Q than anticipated (14% drag vs 8% forecasted), KO earnings met Consensus expectations thanks to much stronger top line growth. Organic sales were +12% and while hyperinflationary pricing helped on that front, volumes also grew with UCV +2%. Momentum would look to be good heading into the new year and our sense is that the company reinvested some of its 4Q gross profit upside to set the stage for 2024. In terms of guidance, what strikes us most is that the EPS outlook brackets Consensus even while absorbing both greater FX headwinds and a 2-pt headwind from significant refranchising activity (including Philippines, Thailand, 1/3 of India) as the company continues to reorganize its System to generate both higher growth & higher returns.

Highlights

- Organic sales +12% vs. our +9%, with the beat fully driven by price/mix (+9% vs. our +5%) that included some degree of boost from hyperinflationary markets
 - All geographic units, including North America, outperformed our expectations (ex. Global Ventures)
- Gross margins +140 bps vs. our +40 bps, with strong reinvestment (absolute SG&A ~4% higher than our forecast) translating to +40 bps of operating margin expansion (vs. our -10 bps)

Lowlights

- Concentrate sales +3% vs. our +4%; unit case volumes +2% vs. our flat - we suspect some degree of headwind from Middle East
 - EMEA concentrate sales and UCVs each lagged our expectations by 1 point

2024 Guidance

- Issued:
 - Organic revenue +6-7% (vs. our +6.6% and Consensus +6.3%)
 - Comparable constant currency EPS +8-10%
 - Comparable EPS +4-5% that implies \$2.79-\$2.82 (vs. our \$2.82 and Consensus \$2.81)
 - Structural headwind of ~4-5% on net revenues and a ~2% drag on comparable EPS
 - Effective tax rate 19.2%, not including impact of ongoing tax litigation
 - Free cash flow of ~\$9.2 billion (vs. our \$11.4bn) that does not include any potential payment tied to ongoing tax litigation

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CORE

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 66.00
Price (12-Feb-24)	USD 59.70
Potential Upside/Downside	+10.6%

U.S. CHPC & Beverages

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BCI, US

- CFFO of \$11.4 billion
- Capex of \$2.2 billion
- Updated:
 - FX headwind of ~2-3% on net revenues (from LSD & vs. our & Consensus -2.0%) and a 4-5% drag on comparable EPS (from ~MSD%) based on current rates and including hedged positions

1Q24 Guidance

- Comparable net revenues
 - FX headwind of ~4% (vs. our -4.5%)
 - Structural headwind of ~2%
- Comparable EPS
 - FX headwind of ~8%
 - Structural headwind of 1%

KO 4Q23 Earnings Call Details:

Today @ 8:30 AM ET - U.S. Dial: 1-888-415-4465; International: 1-646-960-0140; Passcode: COKE IR.

As always, please feel free to call with any questions or comments.

Best,

Lauren

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Primary Stocks (Ticker, Date, Price)

The Coca-Cola Company (KO, 12-Feb-2024, USD 59.70), Overweight/Neutral, CD/CE/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)
Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Procter & Gamble (PG)	Reynolds Consumer Products (REYN)
The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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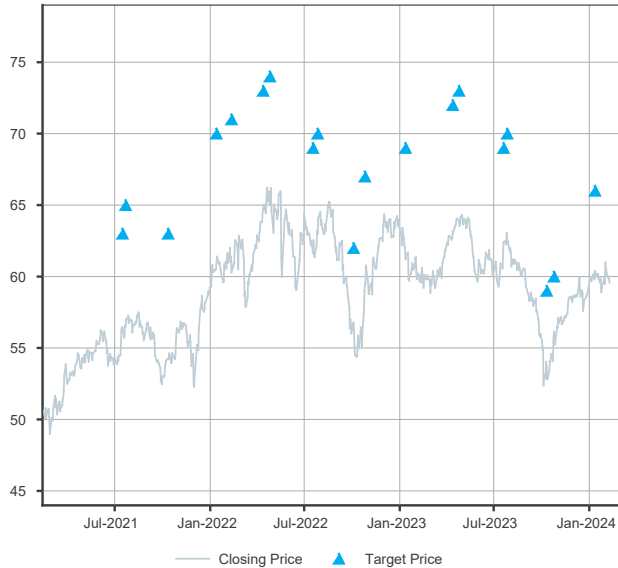
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 59.70** (12-Feb-2024)

Rating and Price Target Chart - USD (as of 12-Feb-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00
22-Jul-2021	56.47		65.00
16-Jul-2021	56.40		63.00

On 13-Feb-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 62.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of \$66 is based on a ~23.6x P/E reflecting a +20% premium to Large-Cap Staples peers on our CY24 EPS estimate of \$2.82.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) FX headwinds force downward revision of estimates, 2) Slowdown in CSD category growth, 3) More sugar taxes cloud the dialogue, 4) Deterioration in North American pricing environment would hurt results

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